

Definition

Commercials refer to the financial and business aspects of a project, or agreement. These elements define how parties involved will exchange goods, services, or monetary value.

Here are some of common components that fall under the umbrella of commercials:

Pricing & Costing	Determining the cost of goods, services, or projects, and establishing the pricing structure.
Payment Terms	Defining the terms under which payments will be made. This involves specifying when payments are due, whether they are lump-sum or installment-based, and any applicable penalties for late payments.
Contracts & Agreements	Drafting and negotiating legal contracts and agreements that outline the terms and conditions of a business arrangement. Contracts often detail deliverables, timelines, responsibilities, and dispute resolution mechanisms.
Milestones & Deliverables	Identifying key project milestones and deliverables, which have corresponding payment schedules tied to their completion.
Invoicing & Billing	Outlining how invoices will be generated, submitted, and processed. This includes specifying the information to be included on invoices and the method of payment.
Terms & Conditions	Specifying the conditions under which goods or services are provided. This can include warranties, guarantees, limitations of liability, intellectual property rights, and more.
Commercial Risks	Assessing and managing financial risks associated with a business deal. This could involve considering factors like currency fluctuations, payment delays, or contractual disputes.

Commercial Elements For Consideration on the Fixed Fee Project

Since Fixed Fee projects involve a predetermined price agreed upon between the Client and the service provider (EPAM), careful consideration of the commercials is crucial to ensure a successful project outcome.

There are important commercial considerations that need to be addressed to ensure a smooth transition and successful project execution:

- *These considerations help to align expectations, clarify scope, and set the foundation for the commercial aspects of the project.*
- *By addressing these key commercial considerations for a Fixed Fee project, both the Client and EPAM can ensure that expectations are aligned, risks are managed, and the project is executed successfully within the agreed-upon budget and terms.*

Info | Please Note

All points below highlight DM related aspects. The Commercials cover much more and would be managed by the Account Management team for the full scope.

1. Scope Confirmation

Ensure that the scope of work defined during the PreSale phase is well-documented and agreed upon by both the client and the delivery team. Any changes to the scope should be clearly communicated and discussed to avoid scope creep.

2. Contract Review

Review the contract terms and conditions with the Account Management team to ensure that all points are clear and we could agree with all statements. This includes milestones, deliverables, and any other commercial aspects outlined in the contract.

3. Change Management Process

Clearly outline the process for handling changes to the project scope, timeline, or requirements. Define how changes will be documented, evaluated, and approved, along with any associated cost implications.

5. Deliverables Acceptance Criteria

Define the criteria for accepting project deliverables. This includes specifying the quality standards that deliverables must meet before they are considered complete and accepted by the Client.

6. Risk and Contingency Planning

Discuss potential risks and mitigation strategies with the Client. Address any commercial implications of risks and establish contingency plans to handle unforeseen challenges.

7. Reporting and Communication

Set expectations for project reporting and communication. Clarify how progress updates, status reports, and other project-related information will be shared with the client.

8. Escalation Process

Outline the escalation process for addressing any issues or disputes that may arise during the project. Define who to contact and how to escalate concerns if needed.

9. Performance Metrics and KPIs

Define the performance metrics and key performance indicators (KPIs) that will be used to measure the success of the project. Ensure both parties agree on how success will be measured.

10. Client & EPAM Team Responsibilities

Clearly communicate the Client's and EPAM responsibilities and contributions to the project. This could include providing necessary resources, information, and approvals.

11. Acceptance Testing and Sign-off

Define the criteria for successful project completion and Client acceptance. This includes clarifying how acceptance testing will be conducted and what constitutes Client sign-off.

12. Legal and Compliance Considerations

Address any legal and compliance requirements that need to be fulfilled during project execution. Ensure that both parties are aware of their obligations. Make sure, that in case of questions related, you raised them with the Account Management team and involved required EPAM resources if needed.

13. Transition of Ownership

If applicable, discuss the transition of ownership of systems, assets, or deliverables to the Client at the end of the project (especially, it should be reviewed for the Vendor Transition case).

When?

The Project/Delivery Manager should be involved in the commercials part of a Fixed Fee project from the very beginning - starting during the PreSale phase and continuing throughout the project's lifecycle. If PM/DM is involved after the PreSale, the precise transition to the Delivery should be managed.

How?

Here is a typical checklist for DM/PM to get ready in commercials handling at different stages of the Fixed-Fee project:

PreSale

Bid and Proposal Stage	Collaborate with the PreSale team to review the project requirements and scope, which helps in providing accurate estimates and ensuring that the proposed solution aligns with the client's needs.
Estimation and Pricing	• Contribute to estimating the effort, resources, and costs required for the project. • Provide input on the feasibility of meeting client expectations within the proposed budget.
Contract Negotiation	
Terms and Conditions	• Review the contract terms and conditions related to project scope, milestones, payments, deliverables, and any commercial clauses. • Ensure that these terms are clear, achievable, and align with the project's execution plan.
Scope Verification	Verify that the project scope mentioned in the contract aligns with the agreed-upon deliverables and objectives. Any discrepancies should be resolved before contract signing (so don't hesitate to raise the flag to the Account Management Team).
Risk Assessment	Identify and assess potential risks related to the project's commercials, such as scope changes, payment delays, or Client expectations.
Project Execution	
Scope Management	• Ensure that the scope remains within the agreed-upon boundaries throughout the project. • Ensure that any scope changes follow a change management process that evaluates the impact on commercials.
Milestone Tracking	• Track the progress of project milestones and deliverables. • If required, ensure that payments are aligned with completed work.
Change Requests	If there are any scope changes or deviations from the original plan, ensure that the impact on commercials is assessed and communicated to both the Client and EPAM team.
Risk Mitigation	In case of any commercials-related risks, collaborate with the team to mitigate the risks and communicate any necessary adjustments to the Client.
Project Acceptance & Closure	
Deliverable Acceptance	Ensure that project deliverables meet the agreed-upon acceptance criteria before seeking Client acceptance.
Project Closure	Please follow 10. Project Closure Procedures
Project Review	Initiate if needed and facilitate project reviews to analyze the financial performance of the project, assess and log Lessons Learned, and identify areas for improvement.